

24STCV15000 24STCV15000

County: los-angeles

Division: Civil Law and Motion

Department: 730

Hearing date: 2026-07-07

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C730%2C07%2F07%2F2026

Source SHA-256: 80506c7ee384bee3e2ce9029f984848bd70feee7eee12a5e00db23d9f0ca1515

Case Number: 24STCV15000 Hearing Date: July 7, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

TRU-DISTRIBUTION

SERVICES, LLC,

Plaintiff(s),

vs.

TRUCONNECT

COMMUNICATIONS, INC., et al.,

Defendant(s).

Case No.:

24STCV15000

Hearing

Date:

July 7,

[TENTATIVE]

ORDER RE:

MOTION FOR JUDGMENT ON THE PLEADINGS

I. BACKGROUND

Plaintiff Tru-Distribution Services, LLC ("AD") is a telecommunications distributor.

Defendant Truconnect Communications, Inc. ("Tru") is a telecommunications provider whose services and products include wireless phones and prepaid wireless telecommunications services ("Services"). Plaintiff and Defendant entered into an Authorized Dealer Agreement (the "Agreement") on January 6, 2021 whereby AD became an authorized dealer to market, promote distribute Services on behalf of Tru to qualifying subscribers. Parties entered into an Addendum to the Agreement on May 12, 2021.

Plaintiff alleges Defendant breached the Agreement when it made improper chargebacks and withheld payment from Plaintiff on that ground. Plaintiff alleges Defendant also failed to pay Plaintiff residuals due under the Agreement. Plaintiff alleges it has been damaged in the amount of \$1,988,436.09 by Defendant's breaches of the Agreement.

On June 14, 2024, Plaintiff filed a complaint against Defendant Tru alleging (1) breach of contract and (2) breach of implied covenant of good faith and fair dealing.

On October 20, 2025, Defendant filed a cross-complaint alleging (1) unjust enrichment and (2) goods and services rendered.

Defendant claims the parties' Agreement and Addendum thereto only pertained to the federal LifeLine Program for Low-Income Consumers ("Lifeline") and the Emergency Broadband Benefit Program ("EBB"). Defendant alleges that the EBB terminated on December 31, 2021. Once the EBB terminated and the Affordable Connectivity Program ("ACP") was implemented, Defendant alleges there was no agreement between the parties governing any services or goods provided under the ACP. Defendant also alleges that it overpaid residuals to Plaintiff as a result of a system process

error. Defendant alleges that despite the lack of any agreement regarding the ACP, Plaintiff continued to accept Defendant's devices and services under the ACP program. Defendant alleges Plaintiff has been overpaid in the amount of \$1,442,000 as a result.

On March 4, 2026, Plaintiff/Cross-Defendant AD filed a Motion for Judgment on the Pleadings. On June 23, 2026, Defendant/Cross-Complainant Tru filed an opposition. On June 29, 2026, Plaintiff/Cross-Defendant filed a reply.

II. LEGAL STANDARD

A defendant may move for judgment on the pleadings when the complaint does not state facts sufficient to constitute a cause of action against that defendant.”

(Code of Civ. Proc., §438, subds. (b)(1) and (c)(1)(B)(ii).) “A motion for judgment on the pleadings may be made at any time either prior to the trial or at the trial itself.” (Ion Equipment Corp. v. Nelson (1980) 110 Cal.App.3d 868, 877.)

“A motion for judgment on the pleadings performs the same function as a general demurrer, and hence attacks on defects disclosed on the face of the pleadings or by matters that can be judicially noticed. Presentation of extrinsic evidence is therefore not proper on a motion for judgment on the pleadings.” (Cloud v. Northrop Grumman Corp. (1998) 67 Cal.App.4th 995, 999.)

The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321-322 [citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216].)

III. DISCUSSION

Plaintiff/Cross-Defendant moves for judgment on the pleadings of the cross-complaint. Plaintiff/Cross-Defendant

argues Defendant/Cross-Complainant's cross-claims for unjust enrichment and goods and services are barred, because there is an express contract that applies—the Agreement and Addendum.

Plaintiff/Cross-Defendant disputes Defendant/Cross-Complainant's allegations that the ACP was not a continuation of the EBB Program. Plaintiff/Cross-Defendant argues the Agreement and Addendum therefore continued to apply to the parties' transactions after the federal government terminated the EBB program and implemented the ACP.

Plaintiff/Cross-Defendant argues that under the Agreement and Addendum, Defendant/Cross-Complainant was required to comply with the contractual review procedure if it objected to any charges. Plaintiff/Cross-Defendant argues that under the Agreement, failure to review and challenge charges within a specific period waived any right to object to those charges.

Plaintiff/Cross-Defendant argues Defendant/Cross-Complainant never complied with the review process.

Plaintiff/Cross-Defendant's Motion for Judgment on the Pleadings is based on facts extrinsic to the cross-complaint.

Plaintiff/Cross-Defendant's claim that Defendant/Cross-Complainant failed to comply with the contractual review process is not based on any factual allegation in the cross-complaint or judicially noticeable evidence.

Plaintiff/Cross-Defendant's Motion for Judgment on the Pleadings also disputes Defendant/Cross-Complainant's factual allegations. Defendant/Cross-Complainant alleges the parties did not believe or intend for the Agreement and Addendum to cover the goods and services provided to Plaintiff/Cross-Defendant after the ACP was implemented. (Cross-Complaint, ¶¶13-17.) Defendant/Cross-Complainant alleges the parties were aware that the Agreement and Addendum only covered EBB and Lifeline distributions, not ACP distributions. (Id. at ¶17.) Defendant/Cross-Complainant alleges there was never any applicable agreement to provide residual payments to Plaintiff/Cross-Defendant under the ACP program. (Id. at ¶¶20 and 28.) These are factual allegations that must be accepted as true on a motion for judgment on the pleadings.

Defendant/Cross-Complainant also alleges circumstantial facts in support of its claim that the parties did not intend for the Agreement and Addendum to govern distributions under the ACP. Defendant/Cross-Complainant alleges that at the time the Agreement was entered into, it was only participating in the

Lifeline program. (Cross-Complaint, ¶¶7-8). Defendant/Cross-Complainant alleges parties' entered into the Addendum because the EBB program was implemented and they only intended the Addendum to cover the EBB program. (Id.) At the time the Agreement and Addendum were entered into, there was no ACP. (Id. at ¶¶7, 9, 13.) The ACP and EBB also implemented different discounts and payment structures, which Defendant/Cross-Complainant indicates warranted re-negotiations. (Id. at ¶17.)

Plaintiff/Cross-Defendant argues the Agreement and Addendum applied to the goods and services provided by Defendant/Cross-Complainant, because the federal government intended the ACP to be a continuation of the EBB. Whether the federal government intended the programs to be a continuation of one another is not determinative of whether the parties' intended for the Agreement and Addendum to apply to the goods and service provided under the newly implemented ACP.

There is a factual dispute regarding whether the Agreement and Addendum apply to those services and goods provided by Defendant/Cross-Complainant to Plaintiff/Cross-Defendant after the government terminated the EBB and implemented the ACP. On a motion for judgment on the pleadings, the Court must accept as true Defendant/Cross-Complainant's allegations that (1) the parties did not intend for the Agreement and Addendum to apply to the parties' transactions under the ACP; (2) parties were in the process of re-negotiating; and (3) there was no agreement between the parties regarding their transactions under the ACP.

Plaintiff/Cross-Defendant's Motion for Judgment on the Pleadings is therefore denied.

IV. CONCLUSION

Plaintiff/Cross-Defendant's Motion for Judgment on the Pleadings is denied.

Plaintiff/Cross-Defendant to answer in 20 days.

Moving Party is ordered to give notice.

DATED:

July 7, 2025

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.